CCBS 4024 Investments and Portfolio Management

Lecturer:	**Jason TSE** (*Email: jasontch@hku.hk; Tel: N/A)*
Textbook:	**Essentials of Investments, 13th edition (McGraw-Hill, 2024)** *Zvi Bodie, Alex Kane and Alan J. Marcus* **(BKM)**
Reference Books	**Investment Analysis & Portfolio Management** **(13th edition, 2025, Cengage)** Frank K. Reilly, Keith C. Brown and Sanford Leeds (RBL)

Introduction

This course blends portfolio theory with the type of practical issues that one will come across in the investment process. Topics include identifying investor objectives and constraints, recognizing risk and return characteristics of investment vehicles, developing strategic asset allocations among equity, fixed-income and risk-free assets, utilizing derivative securities to manage portfolio risk and, if possible, enhance portfolio return, and evaluating portfolio and manager performance relative to investment objectives and appropriate benchmarks.

Intended Learning Outcomes

On completion of the course, students should be able to:

ILO1. develop and evaluate portfolio management strategies to modify the risk-return attributes of the portfolio;

ILO2. identify mispriced securities by applying CAPM, APT, EMH, and discounted cash flow concepts;

ILO3. analyze and appraise the sensitivity of bond prices to interest rate movements by applying duration and convexity concepts;

ILO4. make informed discussion of the market operation and trading practices of the futures and option markets in HK;

ILO5. formulate and assess futures market strategies for hedging and speculative purposes, and construct arbitrage strategies to exploit futures market mispricing opportunities; and

ILO6. construct option trading strategies.

Assessments

Final Examination	40%
Mid-Term Test	20%
2 sets of Assignments (15% each)	30%
Class Engagement Activities	10%

Course Outline

Lecture	Topics	Readings
1	**1) Introduction to Investments and Portfolio Management** ❖ What is investment ❖ Real vs. Financial assets ❖ Financial System and its functions ❖ What is portfolio management ❖ Basic concepts review	BKM Ch 1 and lecture notes
2-3	**2) Allocating Investment Capital (Asset Allocation)** ❖ Investor's risk tolerance/aversion ❖ Asset risk, portfolio risk and return ❖ Allocating capital between risky and risk-free Assets ❖ Allocating capital among risky assets ❖ Diversification of risk ❖ Some practical issues in asset allocation	BKM Ch 5, Ch 6 and lecture notes
4-5	**3) Asset Pricing Theories** ❖ Valuation principles and approaches ❖ Capital asset pricing theories ❖ Index Models ❖ Efficient market theories	BKM Ch 7, Ch 8 and lecture notes
6-7	**4) Fixed Income Securities** ❖ Bond price and yields ❖ Valuation of debt securities ❖ Managing bond portfolios (including interest rate risk)	BKM Ch 10, Ch 11 and lecture notes
7-8	**5) Equity Securities** ❖ Features of equity securities and markets ❖ Macroeconomic and industry analysis ❖ Equity valuation models (dividend discount, free cash flows and multiples (if time permitted))	BKM Ch 12, Ch 13 and lecture notes
8-9	**6) Futures** ❖ Basics of futures contract & forward contract ❖ Payoff diagrams of longing & shorting futures contract ❖ Hedging & speculation with futures ❖ Spot-Futures Parity ❖ Basic arbitrage opportunity & investment strategies	BKM Ch17.1-17.5 and lecture notes
9-10	**7) Options** ❖ Basics of options contract ❖ Value of options at expiration ❖ Profit & loss diagrams ❖ Option strategies ❖ Determinants of option price: stock price, exercise price, volatility, time to expiration	BKM Ch 15, Ch 16.1 and lecture notes

Lecture	Topics	Readings
11-12	**8) Applied Portfolio Management (if time permits)** ❖ Introduction to portfolio management ❖ Portfolio performance evaluation ❖ The theory of active portfolio management	BKM Ch 18 and lecture notes

Grade Descriptor

A	:	Demonstrate an advanced level of understanding of the key concepts in investment theory and strong ability in addressing investment problems in a systematic manner, as well as producing good-quality reports on independent study.
B	:	Demonstrate a satisfactory understanding of the key concepts in investment theory with evidence on efforts in dealing with investment problems in a systematic manner by applying the basic investment techniques with an acceptable level of competence.
C	:	Could only demonstrate an incomplete understanding of the key concepts in investment theory and some ability to analyze the issues and a basic knowledge on investment techniques.
D	:	Demonstrate limited understanding of the key concepts in investment theory and limited ability to apply the knowledge to resolve investment-related issues.
F	:	Show no or little knowledge of the key concepts in investment theory and lack of ability in undertaking an original analysis of the investment-related issues.

Late submission penalty for assignments

Late by	Marks deducted by
Less than 24 hours	20%
More than 24 hours but less than 48 hours	50%
More than 2 days	100%

Copyright Policy

All course materials (including, but not limited to, lecture notes, and questions and solutions to assignments and tests) are copyright protected. Sharing, selling, or publishing these materials without permission may violate copyright laws and lead to legal action.